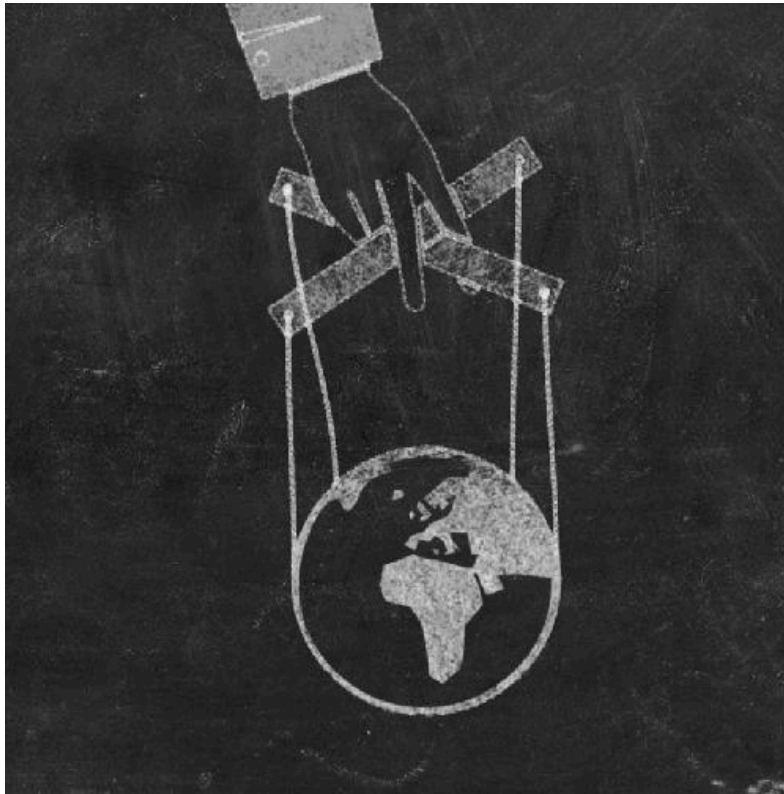


Cartels



In competitive markets, firms compete for business and offer low prices. Monopolies, conversely, produce less, charge more and make higher profits. So what if competing firms could club together and act like a monopolist? Such an arrangement is called a cartel. If members of the cartel restrict supply to keep prices high, all can make higher profits. In many countries such arrangements are illegal. However, some cartels take on an international dimension, such as the Organization of the Petroleum Exporting Countries (OPEC), a prominent cartel of oil-producing countries formed in the 1960s.

Cartels face a 'collective action' problem. Suppose OPEC countries boost the price of oil by restricting production. Now an *individual* oil producer, say Venezuela, has every incentive to produce a little more oil to sell at the higher price. If Venezuela faces this incentive, then so do the other countries, but if they all

raise production, the price falls and they undercut their original aim. This is why cartels are prone to instability.